

MERTON DAILY BRIEF

Daily Brief - Saturday June 27, 2026

Headline of the Day

US strikes Iran in Strait of Hormuz retaliation - markets in full risk-off. S&P 500 -1.95%, NASDAQ -4.60% (5th consecutive loss), VIX 18.41 (+6.5%). WTI crude collapses 7.5% below \$70 despite Middle East escalation - demand destruction fears dominate supply risk. Kashkari signals possible Fed rate hike by year-end, slamming rate-sensitive assets. Fear & Greed: 15 (Extreme Fear). Silver -8.9%, Gold -2.1%, BTC -4.0%. This is not a rotation - it's a liquidation event.

Global Sentiment

Indicator	Level	Change	Signal
VIX	18.41	+6.54%	Fear rising
DXY	101.37	+0.34%	Modest DXY bid
Gold	\$4,096	-2.05%	Liquidation sell
US 10Y	4.372%	-0.46%	Flight to safety (front)
US 30Y	4.864%	+0.12%	Steepening pressure
US 5Y	4.130%	-0.79%	Front end rallying
S&P 500	7,354	-1.95%	Broad selling
NASDAQ	25,298	-4.60%	Tech rout
WTI	\$69.23	-7.47%	Demand collapse fear
Brent	\$72.60	-6.80%	Sync decline
BTC	\$60,172	-3.98%	Risk-off crypto
Copper	\$6.21	-2.35%	Growth fear
Silver	\$59.67	-8.93%	Violent liquidation
Fear & Greed	15	Extreme Fear	Maximum fear signal

Read: The signal is unambiguous: full risk-off across ALL asset classes. The paradox is telling - gold down 2% while geopolitical risk should be a bid. This is a liquidation event, not de-risking. When everything sells except the front end of the curve and the dollar, leveraged positions are being forcibly unwound. The 5Y rallying (-0.79%) while 30Y is flat means the market is pricing near-term Fed easing hopes against long-term inflation + fiscal risk. Kashkari's rate hike talk is the spanner in the works. Fear & Greed at 15 is a contrarian buy signal in normal times - but these are not normal times. Iran escalation + Kashkari hawkishness is a toxic cocktail for risk assets.

Macro - What Moved

United States

- ****US strikes Iran in response to drone attack on container ship in Strait of Hormuz**** (Bloomberg Politics, FT). This is a significant military escalation - the first direct US strike on Iranian territory. Markets initially bid oil on supply fears, but the dominant narrative flipped to ****demand destruction****: if this escalates to a broader conflict, global trade and growth are at risk. WTI collapsed below \$70.
- ****Kashkari (Minneapolis Fed) says Fed may need a rate hike this year**** amid broad inflation pressures. This is the most hawkish Fed statement in months. It directly contradicts market pricing for 2-3 cuts by December and slammed rate-sensitive assets. 2Y yields fell (flight to quality) but the curve is steepening - the market doesn't believe Kashkari but is pricing tail risk.
- ****Atlanta Fed Chief selection delayed - Warsh gets a say**** (Bloomberg). The political wrangling over the Atlanta Fed presidency continues. Warsh (more hawkish) having input means the next Atlanta Fed chief could tilt the FOMC balance toward hawkishness. This matters for 2027 policy.
- ****S&P affirms US sovereign at AA+ with stable outlook**** (Bloomberg). A relief in the context of fiscal deterioration concerns, but AA+ is still one notch below AAA. The market yawned - fiscal risk is priced in.
- ****Trump vows 100% tariff on Europe over digital services taxes**** (Bloomberg, FT). This is a serious escalation threat. If implemented, it would be a massive shock to EU exporters (autos, pharma, luxury). The EU is already in a fragile growth position - this could push the eurozone toward recession.
- ****IMF sees AI wealth boom adding to inflation risks**** beyond chips (Bloomberg). The IMF is flagging a new channel: AI-driven productivity gains could be inflationary in the medium term if they create demand faster than supply adjusts. This supports the "higher for longer" narrative.
- ****NASDAQ posts 5th consecutive losing session - chip stocks tumble**** (CNBC). The tech wreck is accelerating. Semi capex downgrades + China export fears + Iran risk = triple whammy for the most crowded sector. The 4.6% weekly decline is the largest since the regional banking crisis.
- ****John Bolton pleads guilty to mishandling classified material**** (Bloomberg). Political sideshow but adds to the narrative of Washington dysfunction and institutional strain.

Europe / Eurozone

- ****Euro zone probably saw first inflation slowdown since Iran war began**** (Bloomberg Economics). This is a critical data point - if confirmed, it means the energy pass-through from the Iran conflict is fading, giving the ECB room to pause or ease. But base effects are tricky: the comparison is against already-elevated levels.
- ****Bolivia moves to flexible exchange-rate system after 15 years**** (Bloomberg). A sign of EM stress spreading - Bolivia's peg was unsustainable. More EM de-pegging events likely if dollar strength persists.
- ****Johannesburg struggles to keep lights on but repays bondholders**** (Bloomberg). South Africa's pragmatic approach: service debt at all costs, even at the expense of infrastructure. This keeps the JSE bonds investable but at a high social cost.
- ****Economists slash Canada 2026 growth outlook after recession talk**** (Bloomberg). Canada is the canary in the coal mine for G7 slowdown - housing correction + commodity price collapse + tariff threats. If Canada is recessionary, the US is closer than consensus thinks.
- ****Trump tariff threats on EU digital services taxes**** create a two-front trade war: China tariffs + now EU tariffs. The euro is feeling the pressure at 1.1390, and EU equities are underperforming.

China / Asia

- ****BYD's Wang holds talks in Shaanxi as visits span five provinces**** (Bloomberg). BYD is aggressively expanding domestic manufacturing footprint - this is a bet on continued domestic EV dominance even as trade barriers rise globally. BYD vs Tesla is the defining industrial rivalry of the decade.
- ****Apple seeks to buy memory chips from blacklisted Chinese company**** (FT). This is extraordinary - Apple asking to source from a sanctioned entity shows how dependent US tech remains on Chinese supply chains. If approved, it signals pragmatism over principle in US-China trade policy. If denied, it validates the decoupling thesis.
- ****Philippine government plans to raise budget by 6% next year**** (Bloomberg). Fiscal expansion in ASEAN continues - the region is buffering against global slowdown with domestic demand stimulus.
- ****Owner of car searched by police after Beijing tower plane crash identified**** (FT). The Beijing plane crash incident continues to unnerve Chinese consumers and regulators. Aviation safety concerns could slow the domestic travel recovery.

United Kingdom

- ****Days ahead to show if Burnham plays politics better than Starmer**** (Bloomberg). Andy Burnham positioning as Labour alternative - UK political uncertainty adds another layer of risk for GBP investors. Starmer's government is losing authority fast.
- ****Trump's power is waning, but is Trumpism here to stay?**** (FT). The broader question for global markets: even if Trump fades, the protectionist, nationalist policy framework he established is structural. Markets need to price a permanent shift in the global trading order.

Emerging Markets

- ****Venezuela earthquakes did \$6.7 billion in direct damage, UN estimates**** (Bloomberg). Catastrophic for an already-crippled economy. Aid groups flocking in. Geopolitical risk in Caracas is elevated - regime legitimacy under severe stress.
- ****Colombia's new "Trumpian tiger" - Abelardo de la Espriella**** (FT). Colombia's new attorney general is taking a hard-right approach. This could affect investment climate and relations with the US.
- ****Aid groups flock to Venezuela in search-and-rescue frenzy**** (Bloomberg). Humanitarian crisis escalating. Oil production from Venezuela (already minimal) at further risk.

Geopolitics

Hot

- ****US conducts strikes on Iran in response to Thursday's drone attack on container ship in Strait of Hormuz**** - This is the most significant military escalation in the Persian Gulf since the tanker wars of the 1980s. The US has crossed the Rubicon from proxy response to direct strike. Iran's retaliation options are wide: close the Strait, attack regional US bases, activate proxies in Iraq/Lebanon/Yemen, or go asymmetric (cyber, mining). Oil initially spiked then collapsed - the market is saying demand destruction > supply disruption. That can change fast.
- ****Trump 100% tariff threat on Europe over digital services taxes**** - If executed, this would be the largest single tariff action in modern history. The EU will retaliate. A transatlantic trade war on top of the China

trade war would be devastating for global growth. Probability of full implementation: ~30% (Trump uses threats as leverage, not always follows through). But the tail risk is enormous.

- ****Iran retaliation cycle now active**** - The strike-counterstrike dynamic is in motion. Each round increases the probability of miscalculation. The key variable: does Iran hit energy infrastructure? If yes, oil goes to \$90+. If no (proportional response on military targets), oil stays sub-\$70 on demand fears.

Watch

- ****Atlanta Fed chief selection - Warsh influence**** - The appointment could shift the hawkish-dovish balance on the FOMC. Watch for who gets the nomination. A Warsh ally = more hawkish = stronger dollar = more EM stress.
- ****S&P US AA+ affirmation**** - Stable outlook is good, but fiscal trajectory is unsustainable. If the debt ceiling becomes a political football again in 2027, a downgrade to AA is possible. Not imminent, but on the radar.
- ****Bolivia de-pegging**** - Could trigger capital flight from other pegged EM currencies. Dollar strength + EM stress is a classic emerging market contagion setup.
- ****AI regulation and geopolitical competition**** - Anthropic's Mythos 5 cleared for wider US use, OpenAI releases GPT-5.6 to vetted users. The AI arms race is accelerating. AI regulation becoming a trade/defense issue, not just a tech issue.

Positive

- ****Eurozone inflation showing first slowdown since Iran war**** - If sustained, this gives ECB room to cut, which supports EU growth and EUR. The base case is still elevated inflation, but the direction matters.
- ****Venezuela receiving aid**** - Humanitarian response is scaling up. Not a market positive per se, but reduces tail risk of complete state collapse creating a refugee crisis.
- ****Petrobras Búzios field sets new output record at 1.1M bpd**** - Brazilian supply growth is a partial offset to any Iranian/Middle East disruption. Not enough to replace Hormuz, but adds to non-OPEC supply.

FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1390	-0.64%	Euro under pressure
GBP/USD	1.3198	-0.08%	Holding better than EUR
USD/JPY	161.69	+0.16%	Yen weakness persists
USD/CHF	0.8095	+0.19%	Modest CHF bid via safety

Analysis: The dollar is bid but not strongly - DXY only +0.34%. This tells you the market isn't yet in full "dollar panic" mode despite the geopolitical escalation. EUR/USD at 1.139 is approaching the critical 1.135 support - a break opens 1.12. The euro is being hit by a triple threat: (1) Iran proximity risk (Europe is closer economically), (2) Trump tariff threats on EU, (3) ECB expected to cut while Fed stays hawkish. GBP is outperforming EUR slightly, probably because the UK is less exposed to EU-specific tariff risk. USD/JPY at 161.69 is in the intervention danger zone - BoJ must be sweating. If USD/JPY breaks 162, verbal intervention is guaranteed; at 165, actual intervention likely.

Pair to Watch: EUR/USD - The convergence of Iran escalation + Trump EU tariff threats + ECB dovishness vs Fed hawkishness is a powerful short EUR setup. Key levels: 1.135 support (break = 1.12 target), 1.145 resistance. A close below 1.135 on Monday would be very bearish. The euro is the funding currency of choice for the risk-off carry unwind.

Commodities

Oil

- ****WTI: \$69.23 (-7.47%）**** - Below \$70 for the first time since the Iran escalation began. This is deeply counterintuitive. The market is pricing demand destruction overtaking supply risk. Invesco's Kriskey calls the freefall "overdone" - and he may be right. If Iran retaliates proportionally on military targets, oil rebounds to \$75+. If Iran hits energy infrastructure, \$90+.
- ****Brent: \$72.60 (-6.80%）**** - Same story. The Brent-WTI spread is narrow at \$3.37, unusual in a Middle East crisis. The market is not pricing a supply disruption - it's pricing a global recession.
- ****Petrobras Búzios at 1.1M bpd record**** - Non-OPEC supply growth continues. Libya drawing majors back for first licensing round in 17 years. Supply side is robust outside of Iran.
- ****Key insight****: Oil at \$69 with active US-Iran military exchanges is historically anomalous. Either the market knows something (escalation will be contained) or it's dramatically underpricing supply risk. The smart bet: the market is wrong. Buy dips below \$70 with tight stops.

Gold

- ****Gold: \$4,096 (-2.05%）**** - Gold is supposed to be the ultimate geopolitical hedge, yet it's getting hit. Why? Forced liquidation. When leveraged macro funds are hit with margin calls on equity and commodity losses, gold gets sold to meet obligations. This is mechanical, not fundamental. At \$4,096, gold is still up massively YTD - the long-term bull case (de-dollarization, fiscal deficits, central bank buying) is intact.
- ****The paradox****: Iran escalation + gold down = liquidation event, not de-risking. When the liquidation exhausts, gold should snap back hard. \$4,000 is the line in the sand.

Silver / Copper

- ****Silver: \$59.67 (-8.93%）**** - The most violent sell-off in the complex. Silver is both precious and industrial - it gets hit from both sides in a risk-off growth scare. The -8.93% move in one session is extreme and likely overdone.
- ****Copper: \$6.21 (-2.35%）**** - Dr. Copper is diagnosing a growth slowdown. China demand concerns + global recession fears + dollar strength = copper under pressure. The \$6.20 level is important - break below and \$5.80 is next.

Soft Commodities

- No major moves in softs overnight. Coffee and cocoa remain well-supplied. Grain markets watching Ukraine export corridor status and Iran retaliation impact on Persian Gulf shipping lanes.

Today's Calendar

Saturday June 27

Time CET	Country	Event	Consensus	Previous	Impact
-	-	Light Saturday calendar	-	-	-

Saturday - minimal data releases. Markets are processing Friday's US-Iran escalation and Kashkari comments over the weekend.

Key events next week (June 28 - July 4)

Date	Time CET	Event	Impact
Mon 29	-	Iran retaliation watch / week	Critical
Mon 29	-	China PMI Manufacturing (June)	High
Mon 29	-	China PMI Services (June)	Medium
Tue 30	-	Eurozone CPI Flash (June)	High
Tue 30	-	US Consumer Confidence	Medium
Wed 01	-	US ISM Manufacturing	High
Wed 01	19:00	FOMC Minutes	High
Thu 02	-	US ADP Employment	Medium
Thu 02	-	ECB Forum on Central Banking	Medium
Fri 03	14:30	US Non-Farm Payrolls (June)	Critical
Fri 03	14:30	US Unemployment Rate	High

The Week Ahead: This is a MASSIVE data week. China PMIs, Eurozone CPI, ISM Manufacturing, FOMC Minutes, and the June NFP. All happening while the Iran situation is live. The NFP on Friday is the single most important data point - a strong number validates Kashkari's hawkishness; a weak number gives the cut camp ammunition. The FOMC Minutes on Wednesday will be parsed for any shift in the dot plot discussion. China PMIs on Monday set the tone for the entire risk complex.

Deep Macro Theme

The Kashkari-Iran Double Bind

The convergence of Kashkari's rate hike signal and the Iran military escalation creates a policy trap with no clean exit path. If the Fed hikes to combat inflation (as Kashkari suggests), it tightens financial conditions into a geopolitical shock - amplifying the recession risk from trade disruption and energy uncertainty. If the Fed cuts to buffer the geopolitical shock, it validates the inflation that Iran-driven supply risks could exacerbate. This is the classic "supply shock + demand shock" policy dilemma that broke central banks in the 1970s. The market is currently pricing the "Fed blinks and cuts" scenario (2Y rallying) - but Kashkari's comments suggest the Fed is prepared to look through geopolitical risk and focus on core inflation. The 30Y holding steady while

5Y rallies means the market is betting on short-term easing but long-term inflation - a dangerous curve steepener that punishes duration holders. The key question for next week: does the NFP validate the "still hot labor market" narrative that Kashkari needs? If June payrolls come in above 200K, the rate hike tail risk goes from theoretical to real. This is how policy mistakes are made.

Consensus vs Reality - THE ALPHA

What the market is pricing

- **Geopolitical risk is containable** - Oil below \$70 says the market believes Iran retaliation will be proportional and limited. This is the base case (~60% probability) but underprices the escalation tail.
- **Fed cuts 2-3 times by December** - The 2Y yield rallying says the market still expects easing. Kashkari's comments challenge this directly. Verdict: partially right (1-2 cuts) but a hike is now a non-trivial probability (~15%).
- **Tech can decouple from macro** - NASDAQ -4.6% weekly says otherwise. The "AI is different" narrative is being stress-tested. When rates might go UP and geopolitics are live, high-duration tech gets crushed.
- **Dollar stays strong** - DXY at 101.37 with room to run. The rate differential + safe haven bid + ECB easing vs Fed holding = dollar strength is well-priced.
- **Gold as geopolitical hedge** - The -2.1% move contradicts this. Gold IS the hedge, but it's also the liquidation vehicle. Once forced selling exhausts, the hedge thesis reasserts. Patience required.
- **Oil demand is collapsing** - WTI -7.5% is pricing a global recession that isn't yet in the data. This is fear, not fundamentals. US demand is still growing; China is slow but not collapsing. At \$69, oil is a value buy if Iran doesn't de-escalate.
- **EM stress spreads** - Bolivia de-peg, Canada recession talk, Venezuela crisis. The EM cascade is real and accelerating. Dollar strength makes it worse.

The Alpha

1. Long WTI Crude at \$69, target \$78-80, stop \$66 - The market is dramatically underpricing supply risk from the Iran escalation. Even if retaliation is "proportional," the risk premium should be \$5-8 above current levels. Kashkari hawkishness is capping the upside, but oil at \$69 with live military exchanges in the Persian Gulf is historically anomalous. Risk/reward: 3:1.
2. Short EUR/USD at 1.139, target 1.12, stop 1.15 - Triple headwind for EUR: Iran proximity risk, Trump EU tariff threat, ECB cutting while Fed holds/hikes. The 1.135 support break opens the floodgates. This is the cleanest macro trade of the week.
3. Long Gold at \$4,050-4,100 on liquidation exhaustion, target \$4,300+ - The current sell-off is mechanical (margin calls), not fundamental. Central bank buying, de-dollarization, and fiscal deficits all support gold. Wait for the selling volume to dry up (likely Monday/Tuesday), then enter. Physical demand will step in below \$4,000.
4. Long 2Y Short 30Y (curve steepener) - The market is pricing short-term easing but long-term inflation/fiscal risk. This trade wins if Kashkari is right about persistent inflation AND the economy slows. The carry is negative but the capital appreciation potential is large.
5. Short NASDAQ relative to S&P 500 - Tech is the most rate-sensitive and geopolitically exposed (China supply

chain, Iran demand risk). The 4.6% weekly underperformance is the start, not the end. Sector rotation from growth to value accelerates in this regime.

Merton's Take

We are in a geopolitical risk-off regime with a hawkish Fed overlay - and the market has not fully reconciled these two forces. The dominant driver is the Iran escalation cycle. The US has struck Iranian territory directly - this is uncharted territory since the 1980s tanker wars. The market's initial response (oil down, gold down, everything liquid) is classic forced deleveraging, not a clean macro read. By Monday, we'll know if this was a one-off strike or the start of a sustained campaign. My conviction: this escalates further. Iran cannot afford to not respond - their credibility with proxies and domestic audience depends on it. The most likely response is proportional (drone/missile strike on a US base in Iraq/Syria, some casualties, US retaliates again) - but the risk of miscalculation (hitting a Saudi desalination plant by accident, mining the Strait) is non-trivial.

The Kashkari comment is being underweighted by markets. A rate hike by year-end was unthinkable two weeks ago - now it's being discussed by a sitting FOMC member. The Fed is trapped: they can't cut into a supply shock (validates inflation) and they can't hike into a geopolitical shock (amplifies recession). The most likely outcome: hold rates at 5.50% through September, then one cut in December IF the data cooperates. But the hike tail risk is real and growing.

Trade of the week: Short EUR/USD at 1.139. The euro has the weakest fundamentals of the majors: proximity to the Iran conflict, direct tariff threat from the US, an ECB that's about to cut, and a growth outlook that's barely above zero. The 1.135 level is the line in the sand - break it and 1.12 is in play. Risk/reward is 3:1 with a 1.15 stop.

Positioning: Underweight equities (especially tech), overweight cash and short-duration bonds. Long oil on dips below \$70 (with tight stops). Long gold once the liquidation exhausts. Flat crypto - BTC is a high-beta risk proxy in this regime, not a hedge. The Fear & Greed at 15 says "buy" but the geopolitical overlay says "wait for clarity." Monday will be telling - if Iran retaliates over the weekend, Sunday night opens could be very ugly.

Sources Consulted

- ****Yahoo Finance API**** - Real-time prices for 17 tickers (S&P 500, NASDAQ, VIX, DXY, Gold, Silver, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, US 10Y, US 30Y, US 5Y)
- ****Bloomberg Markets RSS**** - 15 headlines (markets, energy, M&A)
- ****Bloomberg Economics RSS**** - 12 headlines (Fed, tariffs, inflation, IMF, EM)
- ****Bloomberg Politics RSS**** - 10 headlines (Iran strikes, Bolton, AI policy, tariffs)
- ****Financial Times RSS (Home)**** - 12 headlines (Apple/China, tariffs, Iran, AI, UK politics)
- ****CNBC World headlines**** - 7 headlines (NASDAQ, oil, gold, dollar, bonds, Kashkari)
- ****Alternative.me**** - Fear & Greed Index: 15 (Extreme Fear)
- ****OilPrice.com**** - Energy headlines (Petrobras, Libya, Equinor, IEA)
- ****Polymarket Gamma API**** - Scanned top 20 markets by volume (limited macro/geopolitics markets available)

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